

4-5c Step 3. Preparing an Unadjusted Trial Balance

An unadjusted trial balance is prepared to determine whether any errors have been made in posting the debits and credits to the ledger. The unadjusted trial balance shown in [Exhibit 11](#) does not provide complete proof of the accuracy of the ledger. It indicates only that the debits and the credits are equal. This proof is of value, however, because errors often affect the equality of debits and credits. If the two totals of a trial balance are not equal, an error has occurred that must be discovered and corrected.

Exhibit 11

Unadjusted Trial Balance, Kelly Consulting

Kelly Consulting Unadjusted Trial Balance April 30, 20Y8			
	Account No.	Debit Balances	Credit Balances
Cash	11	22,100	
Accounts Receivable	12	3,400	
Supplies	14	2,200	
Prepaid Rent	15	4,800	
Prepaid Insurance	16	1,800	
Office Equipment	18	14,500	
Accumulated Depreciation	19		0
Accounts Payable	21		800
Salaries Payable	22		0
Unearned Fees	23		5,000
Common Stock	31		30,000
Dividends	33	6,000	
Fees Earned	41		20,950
Salary Expense	51	1,500	
Rent Expense	52	0	
Supplies Expense	53	0	
Depreciation Expense	54	0	
Insurance Expense	55	0	
Miscellaneous Expense	59	450	
		<u>56,750</u>	<u>56,750</u>

The unadjusted account balances shown in [Exhibit 11](#) were taken from Kelly Consulting’s ledger, before any adjusting entries were recorded.

